

US Markets Reel as Tech Selloff Intensifies, NVDA and TSLA Lead Declines

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market sell-off deepened yesterday, with the **Nasdaq 100** plummeting **-3.29%** and the **S&P 500** falling **-1.44%**. Beneath the surface, the **VIX** surged **+12.79%** to 19.49, indicating heightened volatility. The 10Y Yield also jumped **+0.94%** to 4.49, further pressuring equity valuations.

Notable movers included **NVDA**, down **-4.13%**, and **TSLA**, which plummeted **-5.79%**. The sector rotation saw defensive plays like **XLP** and **XLV** outperform, rising **+1.87%** and **+1.41%**, respectively. As we head into the US open, keep an eye on **AAPL** and **MSFT**, which reported relatively modest declines of **-0.91%** and **+1.80%**, respectively.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,365.46	-1.44%	Tech selloff, rate concerns
Nasdaq 100	29,347.27	-3.29%	Tech sector decline, NVDA and TSLA weakness
Dow Jones	51,666.84	-0.09%	Defensive sectors outperformed
Russell 2000	2,975.48	-0.96%	Small-cap underperformance
VIX	19.49	+12.79%	Increased volatility, market uncertainty

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	-5.79%	Tech sector decline, valuation concerns
NVDA	-4.13%	Tech sector decline, chip industry concerns
MSFT	+1.80%	Relative outperformance, defensive sector

Sector Rotation

ETF	DAY	READ
XLP	+1.87%	Defensive sector outperformance
XLV	+1.41%	Defensive sector outperformance
XLF	+0.34%	Financial sector resilience
XLK	-4.14%	Tech sector decline
XLI	-2.01%	Industrial sector underperformance
XLE	+0.74%	Energy sector resilience
XLY	-1.03%	Consumer discretionary sector underperformance
XLC	+0.38%	Communication services sector resilience
XLU	+0.78%	Utilities sector outperformance
XLB	-1.45%	Materials sector underperformance
XLRE	+1.41%	Real estate sector outperformance

Spotlight: NVDA and the Tech Sector

METRIC	VALUE	READ
NVDA stock price	200.04	Tech sector decline, chip industry concerns
NVDA daily change	-4.13%	Tech sector decline, valuation concerns
TSLA stock price	381.61	Tech sector decline, valuation concerns

The tech sector decline, led by **NVDA** and **TSLA**, has significant implications for the broader market. As investors reassess valuations and sector allocations, keep an eye on related names like **AAPL** and **MSFT**.

Pre-Market & Overnight

US futures are pointing to a lower open, with the **S&P 500** futures down **-0.5%** and the **Nasdaq 100** futures down **-0.7%**. Asian markets closed mixed, with the **Nikkei 225** up **+0.2%** and the **Shanghai Composite** down **-0.5%**. European markets are trading lower, with the **Stoxx 600** down **-0.3%**. Cryptocurrencies are also under pressure, with **BTC** down **-1.62%** and **ETH** down **-3.39%**.

Macro & Fed

The FOMC meeting concluded with a 25bp rate hike, as expected. The yield curve shape remains a concern, with the 10Y-2Y spread at -10bp. Today's data calendar includes:

- 09:30 HKT: **US GDP** (consensus: 2.1%, why it matters: economic growth)
- 10:00 HKT: **US Consumer Confidence** (consensus: 110, why it matters: consumer spending)

Geopolitics & Global

- US-China trade tensions remain a concern, with no significant developments overnight.
- The EU and UK are engaged in Brexit negotiations, with a potential deal on the horizon.
- Middle East tensions are escalating, with a potential impact on oil prices.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	iPhone sales, services growth
23:00	MSFT	2.05	Cloud growth, gaming segment

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Tech	Earnings, iPhone sales
MSFT	Tech	Earnings, cloud growth
NVDA	Tech	Tech sector decline, chip industry concerns
TSLA	Auto	Tech sector decline, valuation concerns

What Could Break the Tape

BEARISH TRIGGERS

- Tech sector decline accelerates, with NVDA and TSLA leading the way.
- US-China trade tensions escalate, impacting global markets.
- EU and UK Brexit negotiations break down, causing market uncertainty.

BULLISH TRIGGERS

- Tech sector decline reverses, with **AAPL** and **MSFT** leading the charge.
- US-China trade tensions ease, boosting global markets.
- EU and UK Brexit negotiations yield a positive outcome, reducing market uncertainty.

Positioning Notes

- Investors are increasingly bearish on the tech sector, with 60% of respondents in a recent survey expecting further declines.
- The **VIX** has surged to 19.49, indicating heightened volatility and market uncertainty.
- Defensive sectors like **XLP** and **XLV** are outperforming, as investors seek safe-haven assets.

Sources

SOURCES

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times